INTC - Intel Corporation | Full investment artifact

Full investment research | Model assumptions and source evidence

Full affected-company rescore | 20 October 2026

The new SEMICON West and OCP excerpts have been reviewed across the complete current financial model and analytical scorecard. The Q4 2027 modeled ceiling remains **USD 99 per share**; the exact saved ceiling is **USD 99.09133615765386**. Analytical Base remains **72/100, 43/60 points**, and the protected Excel Base remains **72**. The owner-authorized **25x parent-economic forward-four-quarter operating-profit** method, existing minority allocations, shares, quarterly forecasts and all existing valuation claims remain in force.

Packaging evidence and existing modeled overlap

The analyst reports stronger interest in EMIB-T and possible customer allocation changes involving TSMC. Those are useful forward sourcing signals with qualification and timing risk. The active external-packaging trajectory already carries USD 3 billion and USD 6.5 billion reference sales, a **75% packaging-timing case** and **60% reported-Google conversion case**. The **40% 14A customer case** is also preserved. The new packaging discussion receives full overlap treatment against those existing program paths. A possible sourcing change does not establish a named wafer award or another independent packaging invoice. Customer identification, qualified production, accepted external revenue and incremental manufacturing/support costs remain the triggers for a distinct residual.

Crescent Island D-series: engineering facts and paid-ramp test

Intel's October 12 issuer release identifies Crescent Island as GPU D-series, built on Xe3P for memory-intensive inference. Announced specifications are **1.3 PFLOPS FP8 compute**, **1.5 TB/s memory bandwidth** and a **350-watt power envelope** in an air-cooled PCIe configuration. These are capability specifications; they do not establish accepted units or customer sales.

The memory boundary matters: **Intel's branded PCIe card has 160 GB LPDDR5X**. The design allows **ODM partner configurations up to 480 GB**. The maximum applies to the partner-design option. Customer sampling is underway; broad availability, priced orders, customer acceptance, realized margins and software-support costs remain unverified.

The full review retains a **25% subjective probability of meaningful paid-ramp progress**. The bounded calculation below tests a possible order-of-magnitude contribution. Unit counts, prices and cost ratios are diagnostic assumptions, rather than issuer guidance or identified orders.

Diagnostic item	Approved value
Assumed unit range	5,000 to 25,000
Assumed unit-price range	USD 5,000 to USD 10,000
Selected diagnostic case	10,000 units at USD 7,500
Conditional revenue	USD 75 million
Manufacturing and memory cost at 65%	USD 48.75 million

Diagnostic item	Approved value
Gross profit before operating expense	USD 26.25 million
Incremental software, engineering and support expense at 18%	USD 13.5 million
Conditional operating profit before overlap	USD 12.75 million
25% probability-weighted operating profit before overlap	USD 3.1875 million
Existing modeled 2028 DCAI revenue	USD 44,000 million
New active revenue and operating profit	USD 0

The current DCAI/custom trajectory and common R&D already include product expansion. An incremental paid cohort, customer substitution, realized prices and matched silicon/memory/software costs are missing after this bounded proxy attempt. The incremental amount above that expanding pool cannot be supported, so the active residual remains zero. The 25% probability is retained explicitly; uncertainty about the net sales denominator prevents an additional financial layer. An internally used Intel chip also does not create external foundry wafer revenue.

Original source pages and open checks

The first source page covers foundry, packaging and SEMICON supply-chain discussion. The second contains the complete Intel D-series paragraph. Original analyst publisher, author and report timestamp are absent from these cropped pages. Official product facts are dated separately; the October 20 intake date is not treated as the report date.

US Semiconductors

Takeaways from 2026 SEMICON West and OCP Global Summit

Semicon/West recap: Terafab and more Terafab, WFE +30%+/yr for the "foreseeable future", test suppliers sound very bullish

- **WFE growth reaffirmed at 30%+/yr for the foreseeable future:** we met with a number of OEMs and key companies in the supply chain this past week. We have previously discussed that some large SPE suppliers are telling their supply chains to add enough capacity to support $500B/yr in WFE and we heard a lot more of this in our meetings. Unsurprisingly, much of this appears underpinned by an exceptionally strong DRAM WFE outlook, with our supply chain conversations suggesting industry DRAM capacity could reach ~3MM wsm sometime in C2029 and reach 4MM by 2031 with some SPE suppliers now filling slots out into C2030. Terafab was the biggest topic of discussion that we heard at the show with senior executives meeting with all major SPE suppliers and setting forth a very aggressive capacity plan and very different ways in which to architect wafer flows in the fab - essentially requiring "custom" tools that are unique to Terafab. We also picked up indications that with more customers eyeing INTC's EMIB-T capacity/offering, TSMC could begin curtailing its wafer allocation to INTC as early as next year. This, from WFE standpoint, should drive incremental upside to INTC's own capacity buildout and capex for C2027 and equipment spend over the next several years - another positive factor (for WFE) that gets lost amid the Terafab focus.
- **From TER and Advantest a very bullish tone:** we met with both TER and Advantest and both meetings reaffirmed the view that test demand remains exceptionally strong. For TER in particular, it sounds like its AMZN test business could be up substantially once again in C2027 despite this year already seeing big growth out of this VIP customer. To this end, we would note Trainium's larger transistor counts, increasing HBM content, more extensive mission-mode testing and less mature DFT capabilities - which, in aggregate, should continue to drive substantially greater test intensity per device. As such, TER appeared to almost caution us from underestimating the magnitude of the next-generation units +transistor count growth - potentially an order of magnitude higher - which we read as particularly bullish for the trajectory of Test TAM, that we increasingly believe is being underestimated by the market. TER is also ramping with Google for TPU (we have written about this here) and we now get the sense that this business could ultimately over time be larger than even TER's AMZN business. Lastly, some suppliers with whom we spoke mentioned they are getting signals from both TER and Advantest that tool production will roughly double from C2H:26 to C2H:28 - this is substantially above even our high-on-Street model for TER which has revenue growing >80% over this period.
- **Semiconductor materials suppliers signaling wafer start inflection:** with industry MSI annual run-rate (~14,292) in C2Q26 having surpassed C2021 levels (~14,165) and now sitting just ~3% below the C2022 historical peak (~14,713), our conversations with industry contacts reinforced the view that semi materials could be approaching an important inflection - one that could ultimately result, we think, in the next big bottleneck across the AI supply chain. More specifically, with Oct-2026 marking the first month of equipment shortages - as WFE suppliers had, until now, largely been able to meet M/M planned shipment slots - we see the potential 'rotation of shortages' across the supply chain, with semi materials at the center of it. This is particularly relevant considering that ~55% of industry MSI is tied to trailing F/L where wafers are only now approaching prior peaks, and

Original owner-supplied analyst excerpt 1: HVCoDtpX0AAU7zw.jpg. Publisher author and original report timestamp are not visible.

ultimately deploys the GWs of capacity it has discussed this week. Ultimately, we sense investors are less likely to use the $30 EPS as the base case, but we see increasing evidence that scale-out can do most of the heavy lifting on interconnect, leaving more room for scale-up and the custom business to deliver upside to buy-side estimates

- **ALAB Meeting:** We are seeing ALAB increasingly focused on broadening the story beyond PCIe retimers, though we think a lot of these newer opportunities still need to be proven from both an execution and share perspective. The most tangible new piece is Orion, the compute-agnostic rack-scale reference architecture ALAB just announced at OCP, targeted primarily at neoclouds and enterprises that are looking for the flexibility to deploy whatever accelerator they can get. ALAB is not trying to sell the rack, but rather the boards/reference designs together with the Scorpio-based fabric and fabric/rack management software, which should help customers get heterogeneous systems deployed faster, with Orion targeted for 1Q27. Management talked about ~50% better performance and ~25% memory offload, and we think the broader concept is interesting as it potentially gives ALAB more content around heterogeneous AI infrastructure. Scale-up could add another leg over time, with Orion PCIe-based today but ALAB looking at NVLink Fusion and UALink and discussing a bridge chip that could effectively translate an accelerator into the scale-up fabric. This bridge chip would not be a small chip and could potentially be one per XPU, so the content opportunity could be meaningful, although ALAB clearly still needs to demonstrate it can win share here (against vendors like MRVL). We are also seeing some progress in optics - although it is further out. ALAB announced Aries 7 moving into optics including optical drivers and TIAs alongside Gen7 retimers/ redrivers/cable modules - the optical products aimed at NPO and LPO and marking the formal entry of ALAB's portfolio into the optics realm. ALAB views NPO as the stepping stone to CPO and pointed to ~3-4x better density and roughly $200 of potential content per rack with NPO, potentially moving toward ~$1,000 with CPO, although attach rates are still a moving target. CXL is broadening as well, with KV cache and HBM offload becoming interesting AI applications. Ultimately, we like the direction ALAB is moving as it broadens the portfolio across PCIe, scale-up, CXL and optics, but a lot of this is still early and we need to see better execution and sustained share gains outside of retimers before giving the company full credit for the broader content-per-rack opportunity.
- **Read to Intel - Crescent Island GPU now D-Series GPU.** After significant re-work of its data center GPU roadmap, Intel is taking a more targeted approach to re-entering the accelerator market, with Crescent Island focused specifically on inference and emphasizing memory capacity/power efficiency. At OCP, the company renamed Crescent Island the GPU D-series and disclosed 1.3 PFLOPS FP8 performance, 1.5TB/s memory bandwidth and up to 480GB LPDDR5X at 350W, with customer sampling now underway but no broad availability date disclosed. While we see this as an encouraging first step, we think is still quite early in the substantial re-work of Intel's GPU roadmap and would look for evidence of production ramp/customer adoption before assigning meaningful relevance to the franchise.

Original owner-supplied analyst excerpt 2: HVCoDttX0AAn7dG.png. Publisher author and original report timestamp are not visible.

Current scorecard and controls

Core	Cycle	TAM	Catalysts	Macro	Alpha	Risks	Raw total	Analytical Base
	16	8	10	4	8	2	-5	43/60	72/100

The current model and score remain after the full review. Important follow-up evidence is qualified external packaging demand, paid D-series deployment, net incremental units after displaced Intel workloads, and manufacturing/software economics. All earlier probabilities, economic claims, costs and shares remain in the complete analysis below.

Complete retained investment analysis

Current Q4 2027 ceiling: USD 99.091336. F4Q valued OP 21.093699 USD bn; sanctioned multiple 25x; valuation shares 5,321.781921M. Analytical Base 72; protected Excel Base 72. Current operating totals include the source-scoped price/volume branch.

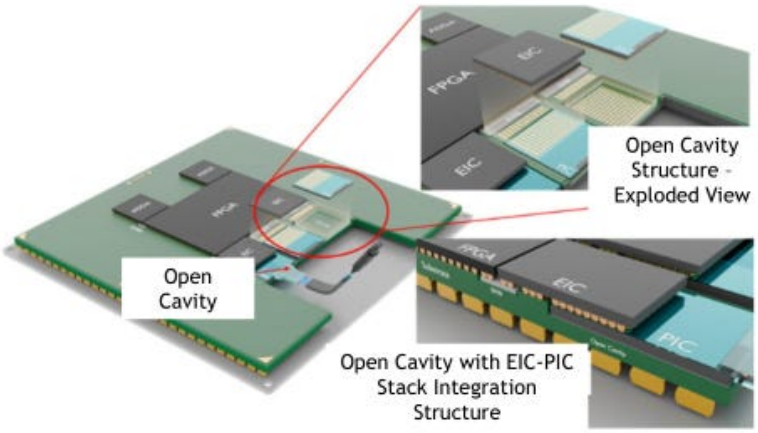
Engineering evidence retained: October 6, 2026 | **Pricing model:** October 12, 2026 | **Framework:** 8.0 **Status:** Full current quarterly model; engineering evidence refreshed | **Classification:** PATH B - CPU platform and foundry turnaround; selective packaging constraint exposure **Artifact Base:** 43/60 = **72% - Watchlist** | **Protected portfolio Base:** 72% (current protected value; separate from artifact assessment) **Active price target:** Q4 2027 **USD 99.091336**, pricing Q4 2027-Q3 2028 at the existing 25x parent-economic operating-profit method. Baseline physical output and product margins remain intact; the scoped CPU pricing/volume branch enters the active totals below.

CPU and packaging demand support a larger opportunity, while the model now distinguishes real external revenue from internal foundry billing and unannounced customer economics. The shareholder denominator and minority allocation are explicit. Portfolio Base is retained.

Optical I/O: shared amplification and complete-link qualification

Intel’s optical-I/O research adds an integration route to the CPU and packaging thesis. The 2026 source material reproduced in the August 18 Irrational Analysis article shows both an eight-wavelength, 32 Gb/s-per-wavelength link and a later 16-wavelength, 50 Gb/s design delivering 800 Gb/s per fiber. The latter combines two interleaved eight-wavelength banks; this remains 16 wavelength channels on the fiber. Microring modulators, thermal tracking, semiconductor optical amplifiers and an open-cavity optical package work together. The package’s reported 1.32 dB glass-bridge path loss consumes optical margin, while the accessible coupling arrangement can serve assembly and serviceability objectives. These are design tradeoffs, rather than sufficient evidence of failure. [IA 08 images 003-021; P 04/P 05]

Advanced Packaging – Open Cavity

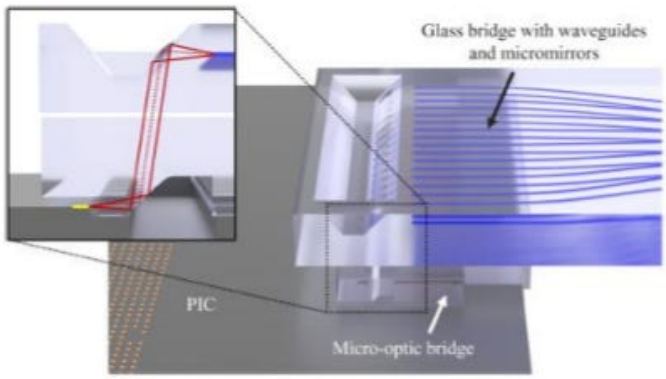


[R. Mahajan TED 2025]

- Co-packaged optical package with an open cavity architecture
- Three stacks of electrical IC (EIC) dies on photonics ICs (PICs) in 227.5 µm deep open cavity
- 56 couplers (127 µm pitch) attached to the PIC edge using fiber-based butt-coupling technology

WS 3.1 2026 IEEE VLSI Symposium on Technology and Circuits Slide 16

Passively Aligned Glass Micro-Optic Bridge



Test configuration with glass waveguide bridge containing curved micromirrors

[N. Psaila JLT 2024]

Low-cost, high-volume wafer-based assembly of low profile collimating micro-optics.

- Glass micro-optic bridges were passively aligned to the PICs
- Beam expansion of the PIC edge coupler with beam diameter of approximately 30 µm.
- An average excess loss of 1.32 dB with two curved micromirrors into a waveguide bridge in a periscope configuration.

WS 3.1 2026 IEEE VLSI Symposium on Technology and Circuits Slide 17

Engineering exhibit IA08-img-013. Primary-paper figure reproduced in Irrational Analysis, August 18, 2026. Device and link measurements are distinct from production yield and commercial qualification.

The useful qualification question is whether every active lane retains margin across phase, power and temperature. A BER result at the best sampling point does not measure the complete timing window. NVIDIA’s published 0.47 UI all-lane eye is a useful example of that additional test, but its configuration is not a controlled comparison with Intel’s. A shared SOA can create multiwavelength mixing and gain interactions; visible eye differences cannot by themselves prove that mechanism. Require spectra and RIN with all lanes operating, input-power sweeps, receiver sensitivity and timing margin, followed by production-lot and reliability evidence. The article’s accusations about fraud and its near-certain diagnosis are not adopted. [IA 08 images 009-012, 017-021; P 03/P 05/P 20]

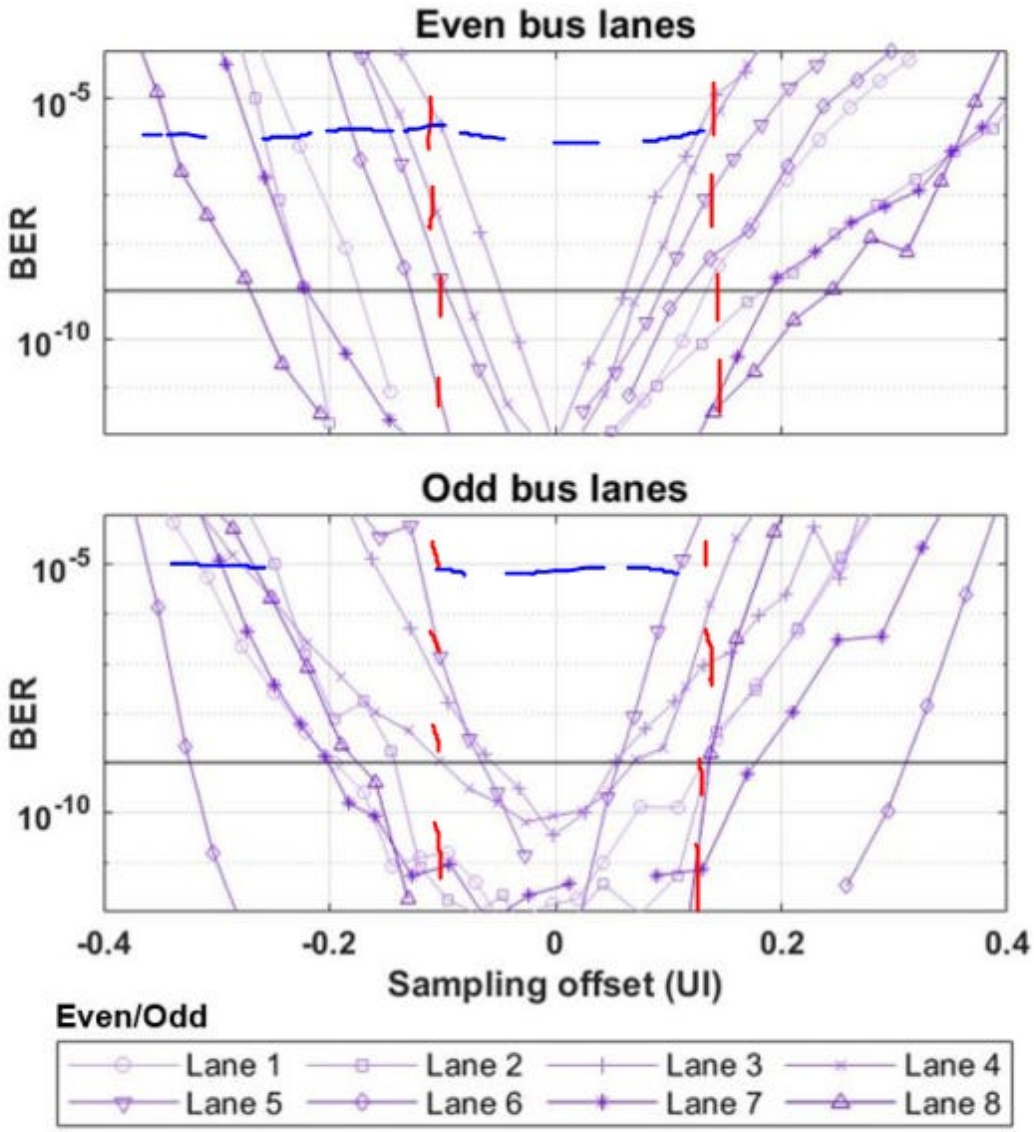


Fig. 11. Measured 16-λ DWDM link BER with 50 Gbps/λ transmitted simultaneously on eight even bus and eight odd bus lanes.

Engineering exhibit IA08-img-021. Primary-paper figure reproduced in Irrational Analysis, August 18, 2026. Device and link measurements are distinct from production yield and commercial qualification.

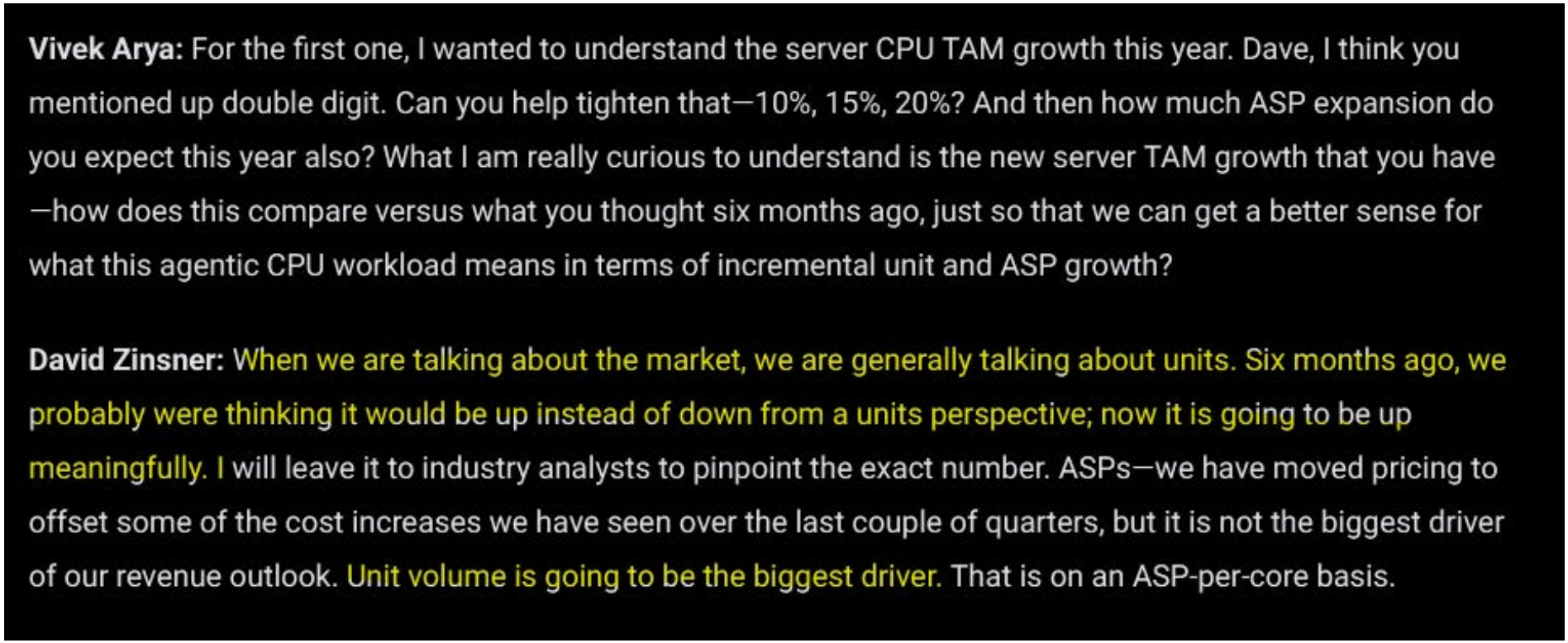
Intel’s 2024 OCI release describes a prototype and prior silicon-photonics manufacturing experience. Those historical shipped-laser figures do not certify the 2026 OCI design or identify a production customer. Optical-I/O economics could arrive through Intel products, packaging or external manufacturing, with different revenue ownership. The present 75% 2027-packaging timing judgment, 60% reported-Google conversion and 40% 14A customer conversion concern other defined programs. No separate optical-I/O revenue, probability uplift or extra wafer sale follows from this paper. The next evidence is qualified customer scope, packaging yield, accepted volume and Intel’s dollar content. [P 04; existing INTC sections 6 and 12]

Model decision: additional optical-I/O revenue, COGS, opex and operating profit are zero in this review. The missing variable is the incremental external invoice and its qualified shipment pool; technical feasibility is not assigned zero probability. Existing packaging/customer cases remain active at their stated weights, without treating the paper as an independent commercial award. A bounded future bridge must net existing packaging content and charge wafer, package, test, cooling and development costs. The active Q4 2027 target remains **$99.091336**, using 25x the retained parent-economic operating-profit basis and 5,321.781921M shares; analytical Base 72 and protected Excel Base 72 are unchanged.

Sources and limits, reviewed October 6, 2026: Irrational Analysis, August 18, full saved body and technical figures reviewed. P03: 32 Gb/s/lambda 256 Gb/s/fiber half-rate bandpass-filtered clock-forwarding DWDM optical link (2026-02-15). P04: Intel unveils first integrated optical I/O chiplet (2024-06-26). P05: An 800 Gbps/Fiber Silicon Photonic Microring Based DWDM Transceiver in an Open Cavity Package (2026 VLSI paper; exact publication day not verified). P20: Four-wave mixing/crosstalk in travelling-wave semiconductor optical amplifiers (1990-08). Detailed paper figures were inspected in the user-supplied reproductions; full IEEE texts were not independently recovered. That access limitation is preserved rather than presented as a replicated experiment.

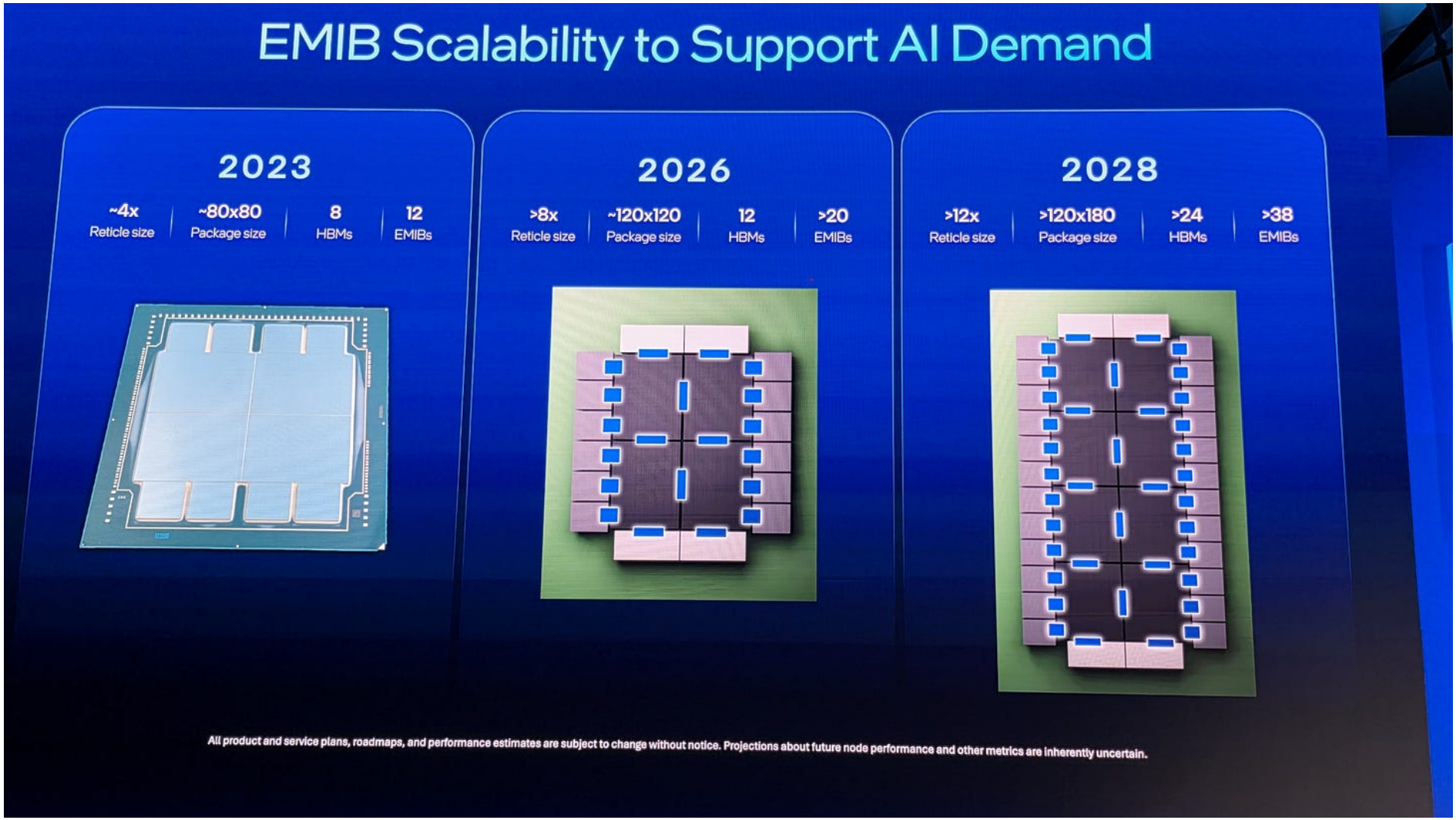
CPU supply, EMIB conversion and the limits of process comparisons - October 6 engineering review

The April 24 Irrational Analysis article correctly focuses attention on CPU availability and packaging capability. Intel's own April call is stronger evidence for demand exceeding available supply; those facts already underpin the July-based operating model. Spare cleanroom space and an integrated factory network can help response time, but the revenue constraint is qualified output after tools, substrates, process yield and customer acceptance. Previously reserved inventory and richer core mix also affect reported gross margin. A price increase that offsets a component-cost increase does not create the same operating profit as a pure scarcity premium. [IA31 images 011-025; P03]



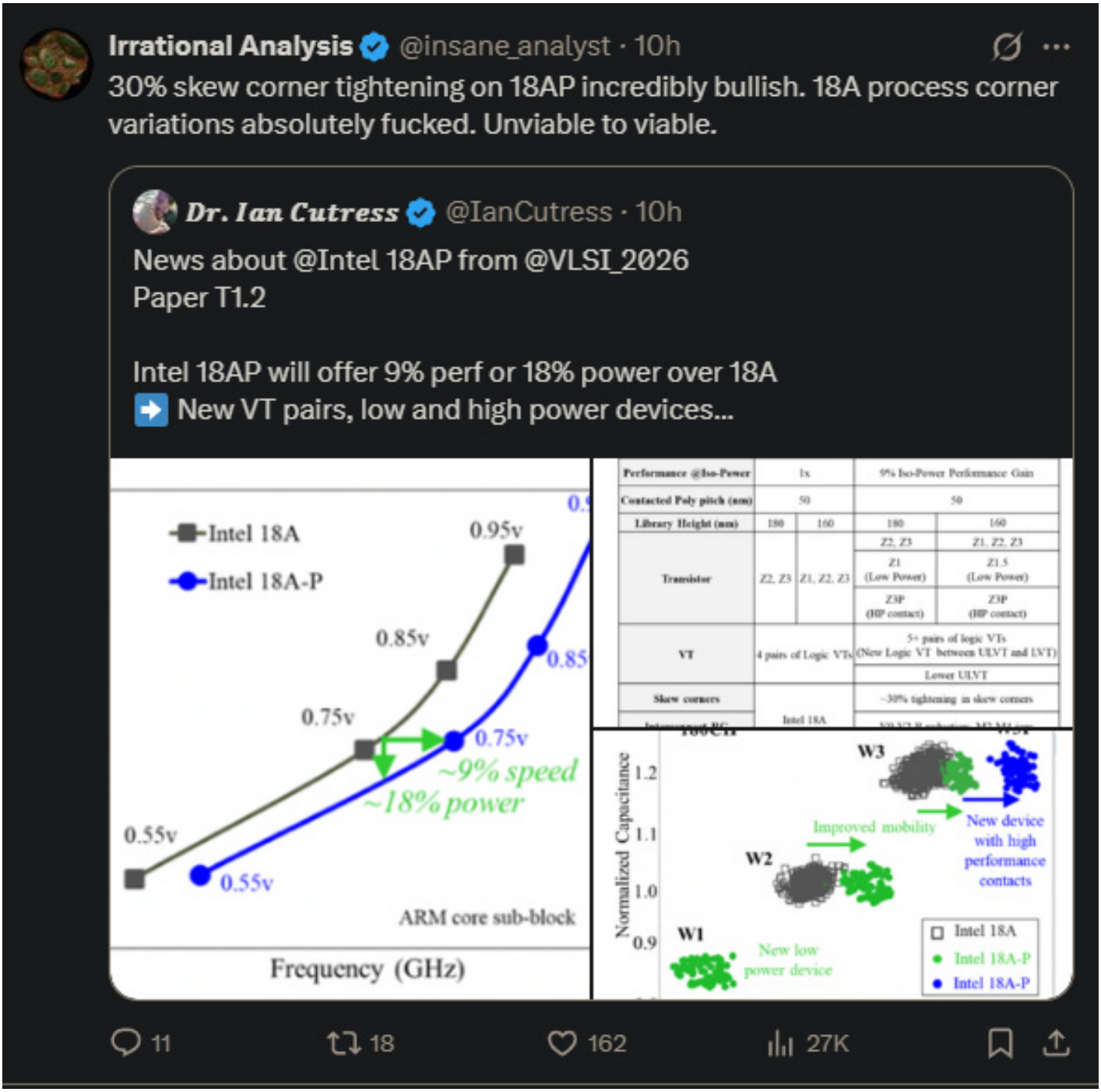
IA31 image 024. Intel call excerpt reproduced by Irrational Analysis, April 24, 2026: unit volume, core mix and cost offsets qualify the pricing argument. This is historical evidence, already reflected in the model.

Larger EMIB packages and additional HBM positions expand the potential value of packaging. The reproduced roadmap shows more bridges and greater package area, which also increase process steps, warpage and test demands. EMIB and CoWoS-L both address advanced chiplet integration, but that does not make a customer's package instantly portable between them. Qualification must reconcile die and bump maps, substrates, power delivery, thermal limits, reliability, assembly yield and the cost of redesign. The article's suggested rebumping route is a possibility to investigate, not a verified zero-friction production transfer. [IA31 image 026]



Intel EMIB roadmap reproduced in the April 24 article. Package complexity and qualification are distinct from immediately saleable capacity.

The related April 29 memo points to tighter 18A-P design corners. Intel's current process page specifies 33% tighter skew corners, refining the article's roughly 30% figure. Its June engineering discussion attributes progress to devices, contacts, interconnect and design optimization. Tighter corners can reduce design guardbands; they do not establish a 33% production-yield or revenue increase. A comparison with TSMC requires matched circuit, voltage, leakage, library and implementation rules. [IA29 images 011-012; P04/P05]



IA29 image 011. Intel process-comparison exhibit reproduced in Irrational Analysis, April 29, 2026. Tighter skew corners are design parameters, not a production-yield or revenue percentage. Current Intel documentation refines the approximately 30% figure to 33%.

Economic reconciliation: the current 2027 model already includes $3B external packaging revenue at 30% product gross margin, or $900M gross profit, and $1.5B external wafer revenue at 10%, or $150M gross profit, before common development and other operating costs. The existing 75% packaging-timing, 60% reported-Google conversion and 40% 14A customer-conversion judgments are retained; they are not multiplied into that model again. The April material identifies no new accepted unit pool, customer award or net price beyond those programs. Overlap is therefore 100%, and additional revenue, COGS, opex and operating profit from this review are all zero. This is an overlap decision, not zero probability for the engineering opportunity.

The article's price/book calculation, $22.9 × 5.8 = $132.82, is a separate valuation approach and is not adopted. The sanctioned 25× parent-economic operating-profit basis, 5,321.781921M shares, Q4 2027 target **$99.091336**, analytical Base 72 and protected Excel Base 72 remain unchanged. The next material evidence is qualified good-unit capacity, externally invoiced program volumes, accepted delivery dates and the cost of producing them.

Sources: IA31, April 24, saved full body and all 28 images reviewed. P03: Intel April 23 prepared call. P04: Intel 18A process. P05: Intel June VLSI engineering discussion. The process comparisons are manufacturer data; matched independent production economics remain undisclosed.

1. Supercycle, supply chain and durable advantage

Intel owns CPU designs, fabrication and advanced packaging. Agentic workloads can expand server CPU units and cores while domestic manufacturing and larger chiplet packages create additional opportunities. The integrated model captures more manufacturing content but also bears process R&D, underutilization and capital intensity. Improving output and real product demand support the turnaround; external foundry competitiveness must still be demonstrated through customer production and returns.

Chip architecture and IP → leading-edge wafer fabrication → chiplet packaging and substrates → server, PC and edge systems. Intel can sell its own finished chips or manufacture for another designer; these are different revenue paths. A wafer transferred from Intel Foundry to DCAI is not a second external sale. Advanced packaging can earn revenue on third-party wafers without Intel winning the front-end manufacturing order.

Business / curve	Stage	Evidence and next inflection
Server CPUs	Renewed expansion, qualitative 30-50% band	AI orchestration expands units/cores; share remains contested.
External packaging	Early scaling, 10-25% band	Management expects material customer ramps in 2027.
External advanced wafer foundry	Qualification to initial production, 5-15% band	18A-P risk production and 14A design enablement precede revenue.
Physical AI	Early, below 10% band	Current edge sales are real; a broad robotics TAM is not current orders.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27 / 100% thematic weight	CPU units, cores and supply recovery	DCAI 34B in 2027 is 1.36× Q2 annualized sales; requires more wafer and substrate output plus richer core mix.
2028-29 / 50% thematic weight	External packaging and leading-edge production	Packaging/wafer sales reach 10B/7B in 2029, conditional on customer conversion and yield.
2030+ / 20% thematic weight	Larger CPU and custom-silicon market	DCAI 76B is roughly 34.5% of the 220B CPU-market scale raised in Q2 Q&A, but DCAI also includes ASICs; this is a generous boundary check, not a clean disclosed share forecast.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

Q2 revenue was 16.128B, GP 6.509B, R&D 3.368B, marketing/administration 1.175B and restructuring 0.170B, producing GAAP OP 1.796B. CCPG sales were 8.877B and DCAI 6.262B. Foundry segment sales of 5.765B include internal transfers: external sales were only 0.293B. Foundry OP remained negative 2.089B. The 11.033B parent net loss was heavily affected by the 12.529B below-operating escrow-share mark, not an equivalent manufacturing loss. [S1/S2]

Both April 23 and July 23 full displayed calls were reviewed through closing remarks. The progression is stronger CPU supply/demand, rising advanced-packaging backlog and a firmer 14A schedule. Q2 introduced a commitment to 2028 high-volume 14A production, with H2 2027 internal risk production and October 2026 PDK 0.9 planned. Management raised 2026 capex above 20B and expects substantially more in 2027. Q3 revenue guidance is 15.8-16.8B with 41% GAAP GM; non-GAAP opex is approximately 16.5B for 2026. [S1/S3/S4]

Both latest earnings-call texts were reviewed in full as displayed. Exact node yields, customer-specific external volumes and future margin schedules remain undisclosed. Reported Google and SK hynix opportunities retain press-report status. The model is complete, with those uncertainties exposed rather than silently promoted to contracts.

4. Local evidence and calibration packet

The latest AH12 demand evidence includes long-term CPU/customer arrangements and customer deposits. The filing identifies 1.7B deposits received in Q2 and 0.934B supplier prepayments in H1; these finance supply and are not incremental recognized sales. External foundry growth partly reflects Altera becoming an external customer after its deconsolidation. Industry wafer spending cannot be added to CPU revenue. High-NA progress supports technical readiness without establishing any named customer volume. [S2/S6]

5. Summing thesis score

Category	Points / maximum	Evidence
Core Thesis	16/20	Integrated IP/manufacturing and sovereign relevance; expensive turnaround.
Cycle Stage	8/10	CPU recovery is reported; external foundry still early.
TAM Expansion	10/10	More CPUs, ASICs, advanced packaging and new manufacturing customers.
Catalysts	4/5	2027 packaging and dated 14A milestones; unnamed customers remain uncertain.
Macro	8/10	AI and domestic supply support demand; capital and trade constraints persist.
Alpha	2/5	Heavily followed; segment eliminations and dilution matter.
Risks	-5	Five independent classes.

Sum: 43/60 × 100 = 71.666667%, conventionally rounded to 72%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Baseline revenue sources, capture and product margins

Five external-sales vectors eliminate internal foundry transfers. Owned ASICs sit within DCAI; the foundry vector contains manufacturing for external customers only. Q2 external foundry split between packaging and wafers is estimated; other revenue is reduced by a 5M net elimination to reconcile total consolidated sales. Product margins are consolidated manufacturing allocations, not reported segment OP margins. Internal fab costs are embedded in product margins and common process R&D in operating expense; do not subtract the entire foundry segment loss again.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
CCPG	Q2 8.877B reported	H2 8.9/8.6B; annual 37/39/42/45B. PC units are constrained, while edge and richer mix support modest dollar growth.	Q3 allocated GM balances exactly to the 41% consolidated guide; then 36%, and 40/43/45/46% annually.
DCAI including owned ASICs	Q2 6.262B reported	H2 6.4/7.6B; annual 34/44/58/76B. ASIC run rate approaches 2B and management sees 4B in the not-too-distant future, already inside this path.	50/52% H2; 55/57/58/58% later, including internal wafer cost rather than using the 40% segment OP as GP.
External packaging	Q2 estimated 0.080B of 0.293B external total	H2 0.1/0.2B; annual 3/6.5/10/14B. Backlog suggests billions, but yearly conversion is modeled.	20/25% H2; 30/35/38/40% later, requiring yield and substrate availability.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
External wafers	Q2 estimated 0.213B residual	H2 0.2/0.3B; annual 1.5/3.5/7/12B. Expansion follows qualification, not an assumed immediate major customer.	-10/0% H2; 10/20/27/30% later. Process R&D remains in common opex.
Other and eliminations	Q2 0.701B reported other minus 0.005B net revenue elimination	H2 0.7/0.75B; annual 3/3.3/3.6/4B. Altera operating sales excluded.	45% modeled contribution; Mobileye/IMS minority claims handled separately.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. Client computing and physical AI

Sources: S1/S2 CCPG; S3/S4 mix and edge demand. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	8.877000	1.002591	8.900	35.596%	3.168
Q4 2026	8.877000	0.968796	8.600	36.000%	3.096
Q1 2027	8.877000	0.916976	8.140	40.000%	3.256
Q2 2027	8.877000	1.000338	8.880	40.000%	3.552
Q3 2027	8.877000	1.083699	9.620	40.000%	3.848
Q4 2027	8.877000	1.167061	10.360	40.000%	4.144
Q1 2028	8.877000	0.966543	8.580	43.000%	3.689
Q2 2028	8.877000	1.054410	9.360	43.000%	4.025
Q3 2028	8.877000	1.142278	10.140	43.000%	4.360
Q4 2028	8.877000	1.230145	10.920	43.000%	4.696
Q1 2029	8.877000	1.040892	9.240	45.000%	4.158
Q2 2029	8.877000	1.135519	10.080	45.000%	4.536
Q3 2029	8.877000	1.230145	10.920	45.000%	4.914

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2029	8.877000	1.324772	11.760	45.000%	5.292
Q1 2030	8.877000	1.115242	9.900	46.000%	4.554
Q2 2030	8.877000	1.216627	10.800	46.000%	4.968
Q3 2030	8.877000	1.318013	11.700	46.000%	5.382
Q4 2030	8.877000	1.419398	12.600	46.000%	5.796

V2. Data center CPUs and owned custom silicon

Sources: S1-S4 DCAI and custom silicon. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	6.262000	1.022038	6.400	50.000%	3.200
Q4 2026	6.262000	1.213670	7.600	52.000%	3.952
Q1 2027	6.262000	1.194507	7.480	55.000%	4.114
Q2 2027	6.262000	1.303098	8.160	55.000%	4.488
Q3 2027	6.262000	1.411690	8.840	55.000%	4.862
Q4 2027	6.262000	1.520281	9.520	55.000%	5.236
Q1 2028	6.262000	1.545832	9.680	57.000%	5.518
Q2 2028	6.262000	1.686362	10.560	57.000%	6.019
Q3 2028	6.262000	1.826892	11.440	57.000%	6.521
Q4 2028	6.262000	1.967423	12.320	57.000%	7.022
Q1 2029	6.262000	2.037688	12.760	58.000%	7.401
Q2 2029	6.262000	2.222932	13.920	58.000%	8.074
Q3 2029	6.262000	2.408176	15.080	58.000%	8.746
Q4 2029	6.262000	2.593421	16.240	58.000%	9.419

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2030	6.262000	2.670073	16.720	58.000%	9.698
Q2 2030	6.262000	2.912807	18.240	58.000%	10.579
Q3 2030	6.262000	3.155541	19.760	58.000%	11.461
Q4 2030	6.262000	3.398275	21.280	58.000%	12.342

V3. External advanced packaging

Sources: S3/S4 backlog and 2027 ramp; S7 reported TPU opportunity. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.080000	1.250000	0.100	20.000%	0.020
Q4 2026	0.080000	2.500000	0.200	25.000%	0.050
Q1 2027	0.080000	8.250000	0.660	30.000%	0.198
Q2 2027	0.080000	9.000000	0.720	30.000%	0.216
Q3 2027	0.080000	9.750000	0.780	30.000%	0.234
Q4 2027	0.080000	10.500000	0.840	30.000%	0.252
Q1 2028	0.080000	17.875000	1.430	35.000%	0.500
Q2 2028	0.080000	19.500000	1.560	35.000%	0.546
Q3 2028	0.080000	21.125000	1.690	35.000%	0.591
Q4 2028	0.080000	22.750000	1.820	35.000%	0.637
Q1 2029	0.080000	27.500000	2.200	38.000%	0.836
Q2 2029	0.080000	30.000000	2.400	38.000%	0.912
Q3 2029	0.080000	32.500000	2.600	38.000%	0.988
Q4 2029	0.080000	35.000000	2.800	38.000%	1.064
Q1 2030	0.080000	38.500000	3.080	40.000%	1.232

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2030	0.080000	42.000000	3.360	40.000%	1.344
Q3 2030	0.080000	45.500000	3.640	40.000%	1.456
Q4 2030	0.080000	49.000000	3.920	40.000%	1.568

V4. External wafer manufacturing

Sources: S2 external sales and Altera; S4 process timing. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.213000	0.938967	0.200	-10.000%	-0.020
Q4 2026	0.213000	1.408451	0.300	0.000%	0.000
Q1 2027	0.213000	1.549296	0.330	10.000%	0.033
Q2 2027	0.213000	1.690141	0.360	10.000%	0.036
Q3 2027	0.213000	1.830986	0.390	10.000%	0.039
Q4 2027	0.213000	1.971831	0.420	10.000%	0.042
Q1 2028	0.213000	3.615023	0.770	20.000%	0.154
Q2 2028	0.213000	3.943662	0.840	20.000%	0.168
Q3 2028	0.213000	4.272300	0.910	20.000%	0.182
Q4 2028	0.213000	4.600939	0.980	20.000%	0.196
Q1 2029	0.213000	7.230047	1.540	27.000%	0.416
Q2 2029	0.213000	7.887324	1.680	27.000%	0.454
Q3 2029	0.213000	8.544601	1.820	27.000%	0.491
Q4 2029	0.213000	9.201878	1.960	27.000%	0.529
Q1 2030	0.213000	12.394366	2.640	30.000%	0.792
Q2 2030	0.213000	13.521127	2.880	30.000%	0.864

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2030	0.213000	14.647887	3.120	30.000%	0.936
Q4 2030	0.213000	15.774648	3.360	30.000%	1.008

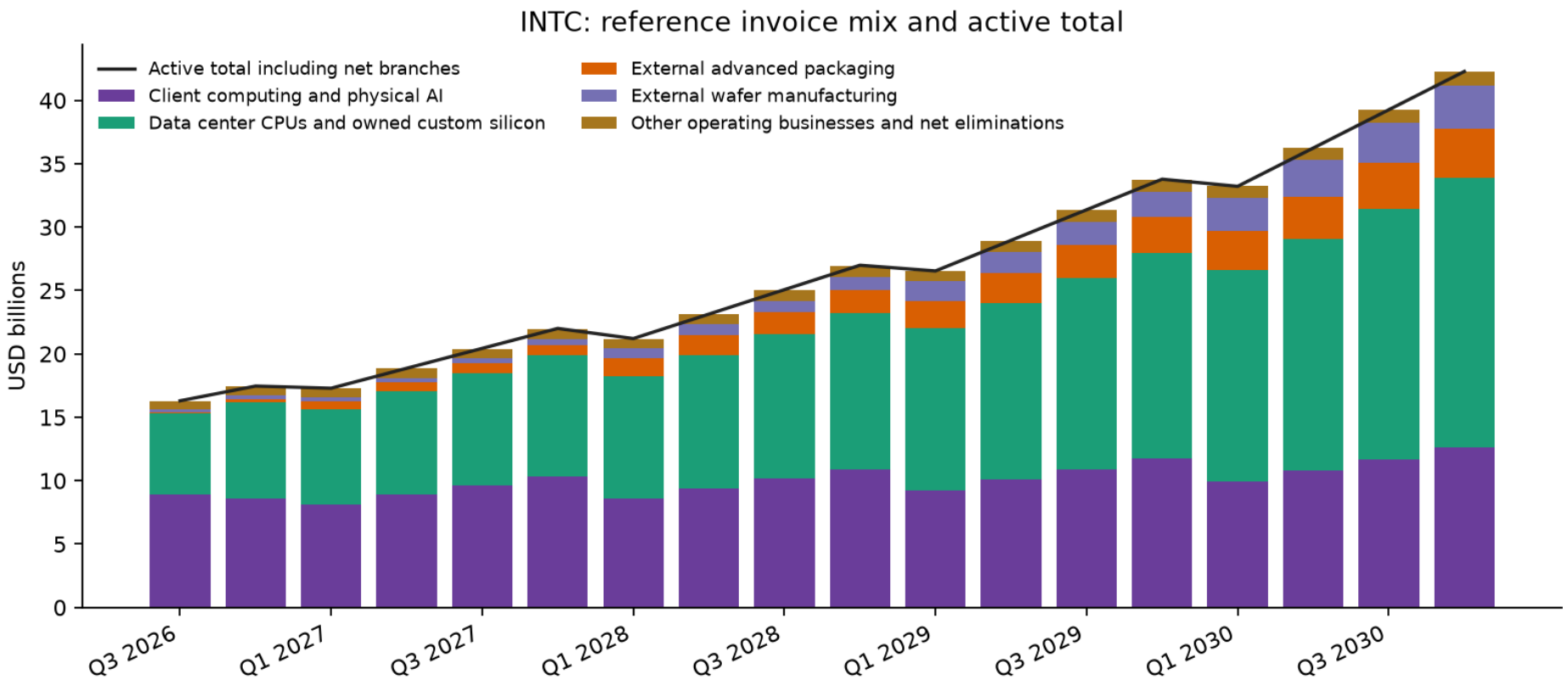
V5. Other operating businesses and net eliminations

Sources: S1/S2 operating perimeter and eliminations. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.696000	1.005747	0.700	45.000%	0.315
Q4 2026	0.696000	1.077586	0.750	45.000%	0.338
Q1 2027	0.696000	0.948276	0.660	45.000%	0.297
Q2 2027	0.696000	1.034483	0.720	45.000%	0.324
Q3 2027	0.696000	1.120690	0.780	45.000%	0.351
Q4 2027	0.696000	1.206897	0.840	45.000%	0.378
Q1 2028	0.696000	1.043103	0.726	45.000%	0.327
Q2 2028	0.696000	1.137931	0.792	45.000%	0.356
Q3 2028	0.696000	1.232759	0.858	45.000%	0.386
Q4 2028	0.696000	1.327586	0.924	45.000%	0.416
Q1 2029	0.696000	1.137931	0.792	45.000%	0.356
Q2 2029	0.696000	1.241379	0.864	45.000%	0.389
Q3 2029	0.696000	1.344828	0.936	45.000%	0.421
Q4 2029	0.696000	1.448276	1.008	45.000%	0.454
Q1 2030	0.696000	1.264368	0.880	45.000%	0.396
Q2 2030	0.696000	1.379310	0.960	45.000%	0.432
Q3 2030	0.696000	1.494253	1.040	45.000%	0.468

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2030	0.696000	1.609195	1.120	45.000%	0.504

Figure F1. Revenue and mix



F1. Baseline product invoice mix and active total, including the scoped price/volume branch

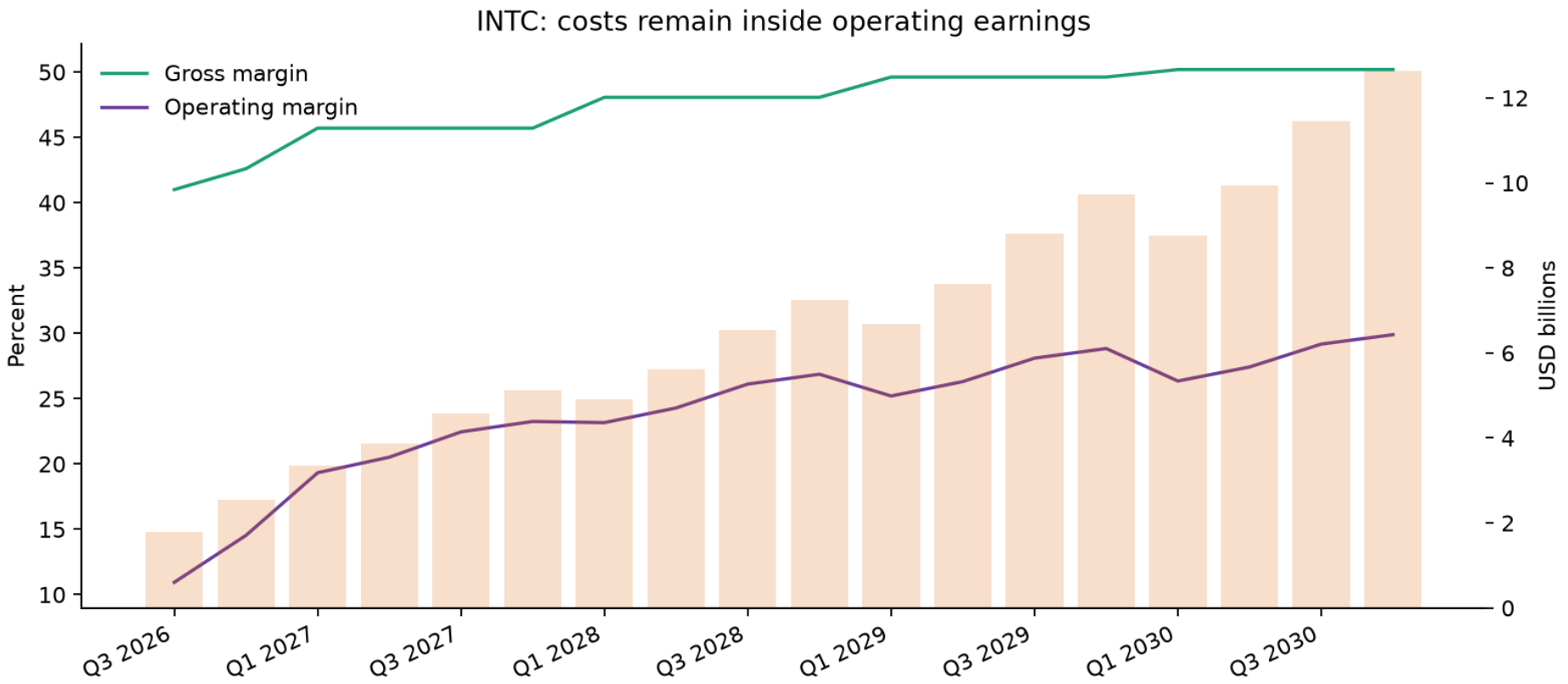
DCAI contributes the largest portion of the modeled expansion. External packaging and wafer sales are separate external invoices; internal foundry transfers are excluded. Every row below is **Model / LOW forecast confidence**, with calendar-quarter units in USD billions. Source: unchanged INTC_Q_Model vectors.

Quarter	Client	DCAI	Packaging	Wafers	Other	Reference total	Active total
Q3 2026	8.900000	6.400000	0.100000	0.200000	0.700000	16.300000	16.300000

Quarter	Client	DCAI	Packaging	Wafers	Other	Reference total	Active total
Q4 2026	8.600000	7.600000	0.200000	0.300000	0.750000	17.450000	17.461889
Q1 2027	8.140000	7.480000	0.660000	0.330000	0.660000	17.270000	17.292507
Q2 2027	8.880000	8.160000	0.720000	0.360000	0.720000	18.840000	18.864553
Q3 2027	9.620000	8.840000	0.780000	0.390000	0.780000	20.410000	20.436599
Q4 2027	10.360000	9.520000	0.840000	0.420000	0.840000	21.980000	22.008645
Q1 2028	8.580000	9.680000	1.430000	0.770000	0.726000	21.186000	21.209724
Q2 2028	9.360000	10.560000	1.560000	0.840000	0.792000	23.112000	23.137880
Q3 2028	10.140000	11.440000	1.690000	0.910000	0.858000	25.038000	25.066037
Q4 2028	10.920000	12.320000	1.820000	0.980000	0.924000	26.964000	26.994194
Q1 2029	9.240000	12.760000	2.200000	1.540000	0.792000	26.532000	26.544774
Q2 2029	10.080000	13.920000	2.400000	1.680000	0.864000	28.944000	28.957936
Q3 2029	10.920000	15.080000	2.600000	1.820000	0.936000	31.356000	31.371097
Q4 2029	11.760000	16.240000	2.800000	1.960000	1.008000	33.768000	33.784258
Q1 2030	9.900000	16.720000	3.080000	2.640000	0.880000	33.220000	33.220000
Q2 2030	10.800000	18.240000	3.360000	2.880000	0.960000	36.240000	36.240000
Q3 2030	11.700000	19.760000	3.640000	3.120000	1.040000	39.260000	39.260000
Q4 2030	12.600000	21.280000	3.920000	3.360000	1.120000	42.280000	42.280000

7. Current quarterly operating model

All rows are model forecasts. Monetary values are USD billions. The baseline product tables above are unchanged; the active totals include the source-scoped pricing/volume branch below. Operating profit = product GP plus net pricing/volume GP less preserved baseline expense and incremental commercial expense. Minority allocations remain the existing proxy.



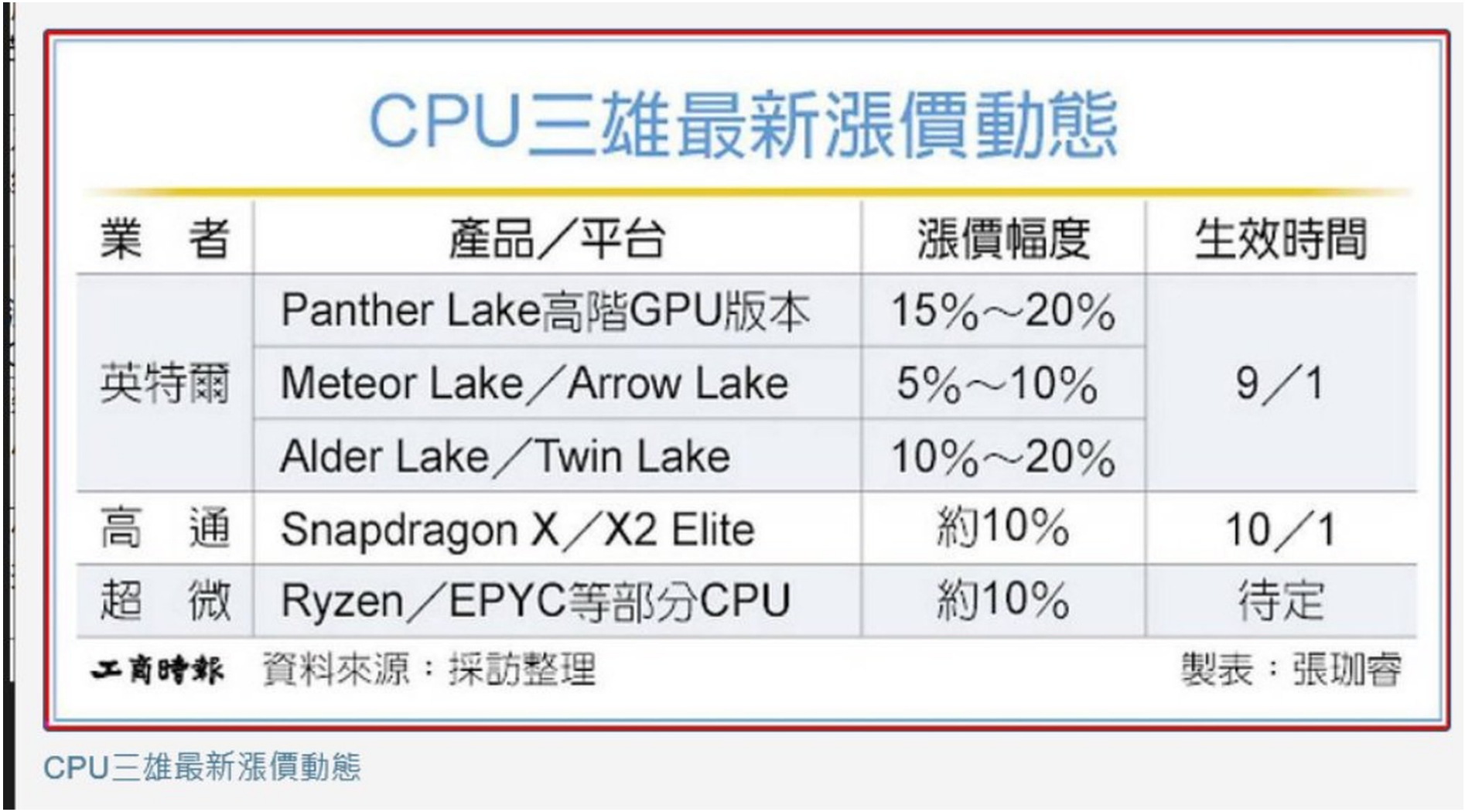
Current margins and operating profit

Quarter	Revenue USD bn	GP	Opex	OP	Parent OP	OP margin
Q3 2026	16.300000	6.683000	4.900000	1.783000	1.533000	10.9387%
Q4 2026	17.461889	7.438164	4.900594	2.537569	2.287569	14.5320%
Q1 2027	17.292507	7.903043	4.561125	3.341917	3.066917	19.3258%
Q2 2027	18.864553	8.621501	4.751228	3.870273	3.595273	20.5161%
Q3 2027	20.436599	9.339960	4.751330	4.588630	4.313630	22.4530%
Q4 2027	22.008645	10.058418	4.941432	5.116986	4.841986	23.2499%
Q1 2028	21.209724	10.193515	5.281186	4.912329	4.637329	23.1607%

Quarter	Revenue USD bn	GP	Opex	OP	Parent OP	OP margin
Q2 2028	23.137880	11.120199	5.501294	5.618904	5.343904	24.2844%
Q3 2028	25.066037	12.046882	5.501402	6.545480	6.270480	26.1129%
Q4 2028	26.994194	12.973565	5.721510	7.252055	6.977055	26.8652%
Q1 2029	26.544774	13.169862	6.480639	6.689223	6.389223	25.1998%
Q2 2029	28.957936	14.367122	6.750697	7.616425	7.316425	26.3017%
Q3 2029	31.371097	15.564382	6.750755	8.813628	8.513628	28.0947%
Q4 2029	33.784258	16.761643	7.020813	9.740830	9.440830	28.8325%
Q1 2030	33.220000	16.671600	7.920000	8.751600	8.401600	26.3444%
Q2 2030	36.240000	18.187200	8.250000	9.937200	9.587200	27.4205%
Q3 2030	39.260000	19.702800	8.250000	11.452800	11.102800	29.1717%
Q4 2030	42.280000	21.218400	8.580000	12.638400	12.288400	29.8921%

Current CPU repricing case: product scope, costs and volume response

The October 12 Commercial Times article attributes differentiated processor quotation increases to supply-chain sources. Intel high-end Panther Lake GPU variants are reported at 15-20%,Meteor/Arrow Lake at 5-10%,Qualcomm Snapdragon X/X2 Elite around 10% from October 1. The original Chinese table also states Alder/Twin Lake 10-20% and AMD select Ryzen/EPYC around 10%, with AMD timing undetermined. The article body does not give the latter two amounts. The table provides an attributed amount, not independent confirmation. All reposts and translations are one evidence family. [CPU-20261012]



Original Commercial Times Chinese CPU pricing table; attributed supply-chain reporting, not issuer guidance

Probability: 35%, an ASTRA judgment on the defined net economic outcome. The eligible revenue pool is **20% of baseline client computing (CCPG)**. This is a bounded company-allocation assumption; neither PC revenue shares nor eligible contract percentages are disclosed. The central gross premium is 10%, with 5-15% bounds for Intel and 5-10% for Qualcomm/AMD. The forecast adds no new unit capacity.

Remove 50% of the new price opportunity for pricing/mix already implicit in the reference. Fixed-price backlog and unrelated product lines receive no surcharge. For AMD, use reference EPYC before its existing Aletheia contribution; the conditional CPU forecast is not repriced again.

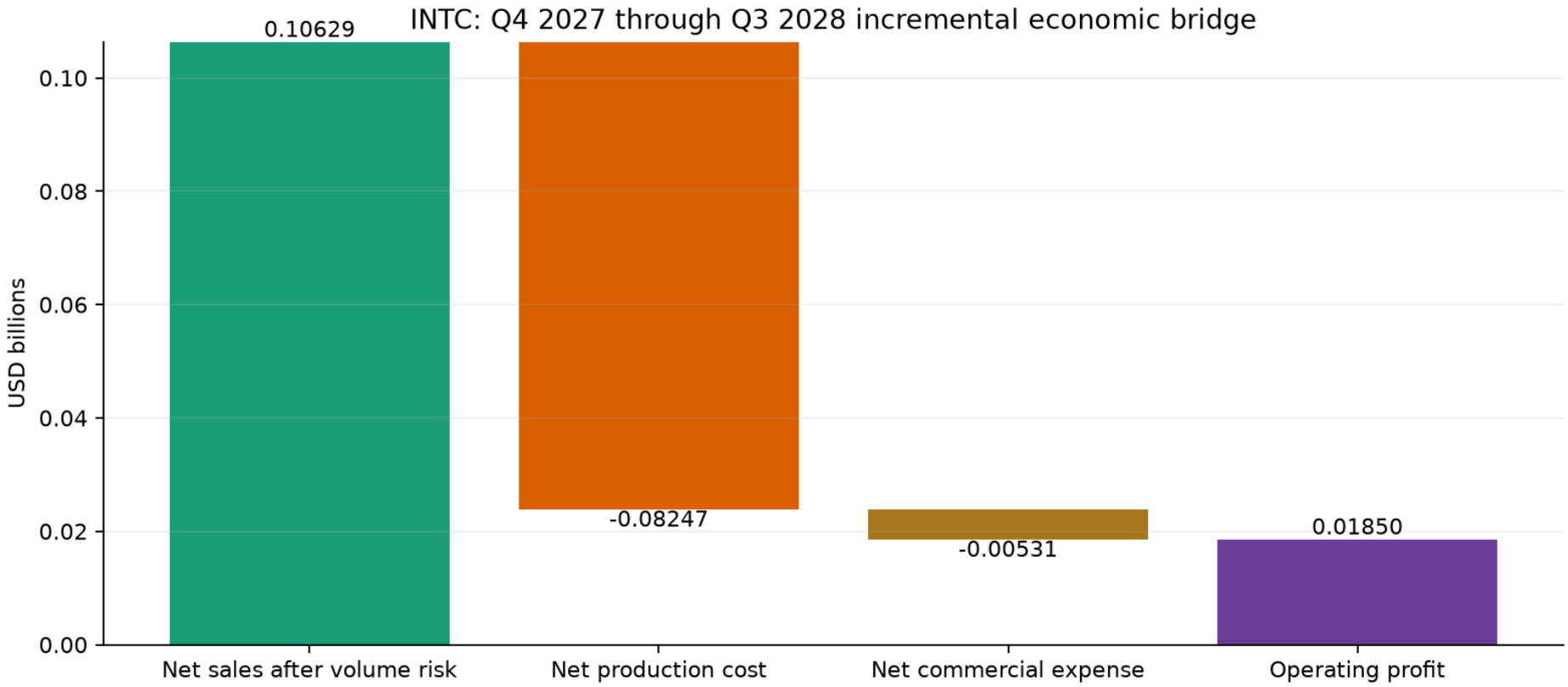
A coherent conditional outcome assumes 1% fewer units within the eligible cohort after repricing. Price revenue = eligible sales x 99% retained units x 10% premium x 50% remaining economic share x recognition phase. Lost-unit revenue = eligible sales x 1% x phase. Seventy percent of price dollars pays higher wafer, tile, packaging and other manufacturing costs; 5% pays incremental commercial/support expense. Lost units save 40% manufacturing costs and 5% variable operating expense, retaining fixed manufacturing depreciation and engineering. These cost and elasticity inputs are labeled proxies, not reported product margins. The same event carries both price and volume risk; no separate demand shock is added.

Recognition begins at half phase in Q4 2026, then full phase through 2027-2028. Half the price level remains in 2029; zero extra contribution in 2030 after the reference absorbs it. This schedule is an analyst implementation assumption, not a delivery promise. Q3 2026 guided rows receive no additional repricing. Unit-loss sensitivity is 0-3% of the narrow cohort; price-dollar GP retention is 15-50%.

The active Q4 2027 through Q3 2028 window includes **0.018499 USD billions** of net additional operating profit after probability, costs, volume response and overlap/replacement. Keep the existing valuation method, shares, financial claims and analytical Base. The protected Excel Base is 72. A quoted price increase is not the same as a matching profit increase.

Quarter	Phase	Eligible pool	Net sales delta	GP delta	Opex delta	OP delta
Q3 2026	0%	1.780000	0.000000	0.000000	0.000000	0.000000
Q4 2026	50%	1.720000	0.011889	0.002664	0.000594	0.002069
Q1 2027	100%	1.628000	0.022507	0.005043	0.001125	0.003917
Q2 2027	100%	1.776000	0.024553	0.005501	0.001228	0.004273
Q3 2027	100%	1.924000	0.026599	0.005960	0.001330	0.004630
Q4 2027	100%	2.072000	0.028645	0.006418	0.001432	0.004986
Q1 2028	100%	1.716000	0.023724	0.005315	0.001186	0.004129
Q2 2028	100%	1.872000	0.025880	0.005799	0.001294	0.004505
Q3 2028	100%	2.028000	0.028037	0.006282	0.001402	0.004880
Q4 2028	100%	2.184000	0.030194	0.006765	0.001510	0.005255
Q1 2029	50%	1.848000	0.012774	0.002862	0.000639	0.002223
Q2 2029	50%	2.016000	0.013936	0.003122	0.000697	0.002426
Q3 2029	50%	2.184000	0.015097	0.003382	0.000755	0.002628
Q4 2029	50%	2.352000	0.016258	0.003643	0.000813	0.002830
Q1 2030	0%	1.980000	0.000000	0.000000	0.000000	0.000000
Q2 2030	0%	2.160000	0.000000	0.000000	0.000000	0.000000

Quarter	Phase	Eligible pool	Net sales delta	GP delta	Opex delta	OP delta
Q3 2030	0%	2.340000	0.000000	0.000000	0.000000	0.000000
Q4 2030	0%	2.520000	0.000000	0.000000	0.000000	0.000000



Probability-weighted price, production cost and support bridge; calculated model outcomes

F4Q bridge item	Expected USD bn
Net revenue after unit response	0.106287
Net production cost	0.082473
Net gross profit	0.023814

F4Q bridge item	Expected USD bn
Net commercial/support expense	0.005314
Incremental operating profit	0.018499

Tests and counter-evidence: realized CPU invoice prices by generation, wafer/package input cost, customer mix, unit shipments, contract rollovers and credits. Lower-tier substitutions or delayed orders can offset prices. Reduce or remove the branch if price retention is cost-only, if the eligible cohort is smaller, or if delivery and acceptance slip. CPU lead-time commentary is unsourced hearsay; its image labels current CPUs 3-6 months and 2+ years only as a forward scenario. No extra delivery-delay or pricing uplift is added from that image.

8. Multiple, shares and recognition convention

Retain 25× rolling four-quarter operating earnings from the original artifact. This assumes durable differentiated manufacturing and platform economics; a successful turnaround is necessary to sustain it. No price-target anchoring.

Starting proxy 5,256M = 5,043M issued +143M unreleased escrow shares +70M Q2 excluded anti-dilutive equity equivalents. This avoids adding all escrow shares to the 5,104M EPS denominator, which already includes some escrow rights. The 70M is a proxy based on the reported exclusion, not a complete future award registry. Add 1% annual dilution. The separate 241M government warrants depend on Intel losing majority ownership of foundry and are excluded from the controlled-foundry base; full exercise would lower the initial price target by about 4.4%. No assumed repurchases.

The valuation denominator is the price target quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1000; this converts the model units to USD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit price target.

Minority earnings allocation

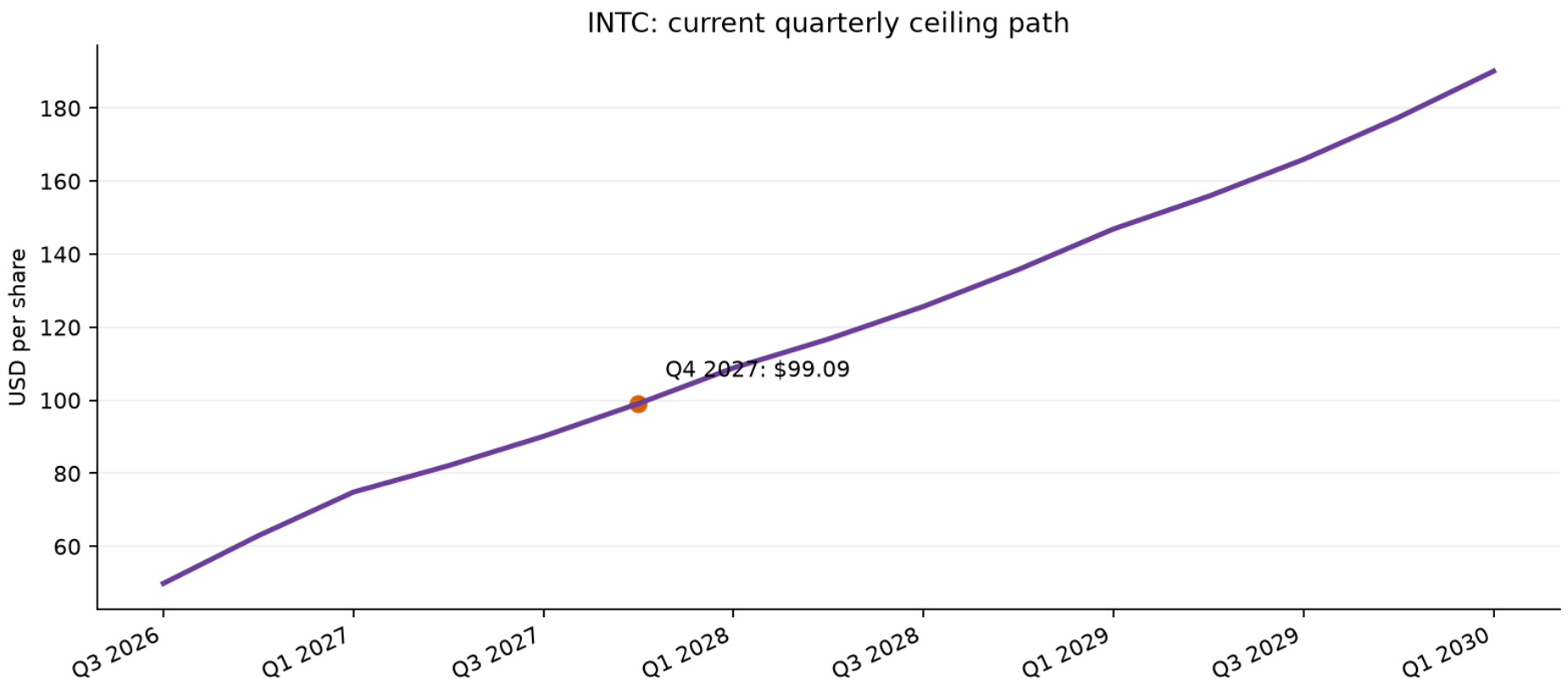
Capitalized earnings subtract 0.250B quarterly in H2 2026 and 0.275B in 2027-28, using management’s net minority-income guidance as a practical economic proxy. The 2029/30 allowance rises to 0.300/0.350B per quarter. Net minority income is not identical to minority OP; a precise segment tax/interest allocation is unavailable, so the proxy is explicitly approximate. It prevents capitalizing all joint-fab and subsidiary earnings as wholly owned. The consolidated quarterly/annual OP table remains before this deduction; every price target below uses the after-allocation amount.

Quarter	Consolidated operating profit	Minority allocation proxy	Parent economic OP proxy
Q3 2026	1.783000	0.250000	1.533000
Q4 2026	2.537569	0.250000	2.287569
Q1 2027	3.341917	0.275000	3.066917
Q2 2027	3.870273	0.275000	3.595273
Q3 2027	4.588630	0.275000	4.313630

Quarter	Consolidated operating profit	Minority allocation proxy	Parent economic OP proxy
Q4 2027	5.116986	0.275000	4.841986
Q1 2028	4.912329	0.275000	4.637329
Q2 2028	5.618904	0.275000	5.343904
Q3 2028	6.545480	0.275000	6.270480
Q4 2028	7.252055	0.275000	6.977055
Q1 2029	6.689223	0.300000	6.389223
Q2 2029	7.616425	0.300000	7.316425
Q3 2029	8.813628	0.300000	8.513628
Q4 2029	9.740830	0.300000	9.440830
Q1 2030	8.751600	0.350000	8.401600
Q2 2030	9.937200	0.350000	9.587200
Q3 2030	11.452800	0.350000	11.102800
Q4 2030	12.638400	0.350000	12.288400

9. Complete rolling four-quarter price target derivation

Quarter Q values Q plus the next three calendar quarters at 25x,using the existing starting-quarter share schedule. No probability is applied to the final ceiling after it enters the operating bridge.



Current quarterly ceiling path

Quarter	Exact earnings window	F4Q valued OP	Multiple	Valuation shares M	Ceiling USD/share
Q3 2026	Q3 2026 through Q2 2027	10.482760	25x	5,256.000000	49.860922
Q4 2026	Q4 2026 through Q3 2027	13.263390	25x	5,269.091010	62.930161
Q1 2027	Q1 2027 through Q4 2027	15.817806	25x	5,282.214626	74.863515
Q2 2027	Q2 2027 through Q1 2028	17.388218	25x	5,295.370929	82.091596
Q3 2027	Q3 2027 through Q2 2028	19.136849	25x	5,308.560000	90.122599
Q4 2027	Q4 2027 through Q3 2028	21.093699	25x	5,321.781921	99.091336
Q1 2028	Q1 2028 through Q4 2028	23.228769	25x	5,335.036773	108.850087

Quarter	Exact earnings window	F4Q valued OP	Multiple	Valuation shares M	Ceiling USD/share
Q2 2028	Q2 2028 through Q1 2029	24.980663	25x	5,348.324638	116.768636
Q3 2028	Q3 2028 through Q2 2029	26.953184	25x	5,361.645600	125.675893
Q4 2028	Q4 2028 through Q3 2029	29.196332	25x	5,374.999740	135.796898
Q1 2029	Q1 2029 through Q4 2029	31.660106	25x	5,388.387140	146.890458
Q2 2029	Q2 2029 through Q1 2030	33.672483	25x	5,401.807885	155.838951
Q3 2029	Q3 2029 through Q2 2030	35.943257	25x	5,415.262056	165.934986
Q4 2029	Q4 2029 through Q3 2030	38.532430	25x	5,428.749737	177.446151
Q1 2030	Q1 2030 through Q4 2030	41.380000	25x	5,442.271012	190.086087

Q3 2026: (1.533000 + 2.287569 + 3.066917 + 3.595273) x 25 x 1000 / 5,256.000000 = **USD 49.860922 per share**. Window: Q3 2026 through Q2 2027.

Q4 2026: (2.287569 + 3.066917 + 3.595273 + 4.313630) x 25 x 1000 / 5,269.091010 = **USD 62.930161 per share**. Window: Q4 2026 through Q3 2027.

Q1 2027: (3.066917 + 3.595273 + 4.313630 + 4.841986) x 25 x 1000 / 5,282.214626 = **USD 74.863515 per share**. Window: Q1 2027 through Q4 2027.

Q2 2027: (3.595273 + 4.313630 + 4.841986 + 4.637329) x 25 x 1000 / 5,295.370929 = **USD 82.091596 per share**. Window: Q2 2027 through Q1 2028.

Q3 2027: (4.313630 + 4.841986 + 4.637329 + 5.343904) x 25 x 1000 / 5,308.560000 = **USD 90.122599 per share**. Window: Q3 2027 through Q2 2028.

Q4 2027: (4.841986 + 4.637329 + 5.343904 + 6.270480) x 25 x 1000 / 5,321.781921 = **USD 99.091336 per share**. Window: Q4 2027 through Q3 2028.

Q1 2028: (4.637329 + 5.343904 + 6.270480 + 6.977055) x 25 x 1000 / 5,335.036773 = **USD 108.850087 per share**. Window: Q1 2028 through Q4 2028.

Q2 2028: (5.343904 + 6.270480 + 6.977055 + 6.389223) x 25 x 1000 / 5,348.324638 = **USD 116.768636 per share**. Window: Q2 2028 through Q1 2029.

Q3 2028: (6.270480 + 6.977055 + 6.389223 + 7.316425) x 25 x 1000 / 5,361.645600 = **USD 125.675893 per share**. Window: Q3 2028 through Q2 2029.

Q4 2028: (6.977055 + 6.389223 + 7.316425 + 8.513628) x 25 x 1000 / 5,374.999740 = **USD 135.796898 per share**. Window: Q4 2028 through Q3 2029.

Q1 2029: (6.389223 + 7.316425 + 8.513628 + 9.440830) x 25 x 1000 / 5,388.387140 = **USD 146.890458 per share**. Window: Q1 2029 through Q4 2029.

Q2 2029: (7.316425 + 8.513628 + 9.440830 + 8.401600) x 25 x 1000 / 5,401.807885 = **USD 155.838951 per share**. Window: Q2 2029 through Q1 2030.

Q3 2029: (8.513628 + 9.440830 + 8.401600 + 9.587200) x 25 x 1000 / 5,415.262056 = **USD 165.934986 per share**. Window: Q3 2029 through Q2 2030.

Q4 2029: (9.440830 + 8.401600 + 9.587200 + 11.102800) x 25 x 1000 / 5,428.749737 = **USD 177.446151 per share**. Window: Q4 2029 through Q3 2030.

Q1 2030: (8.401600 + 9.587200 + 11.102800 + 12.288400) x 25 x 1000 / 5,442.271012 = **USD 190.086087 per share**. Window: Q1 2030 through Q4 2030.

The final three operating rows remain modeled through Q4 2030; they do not have a ceiling because there is no complete forward-four-quarter window.

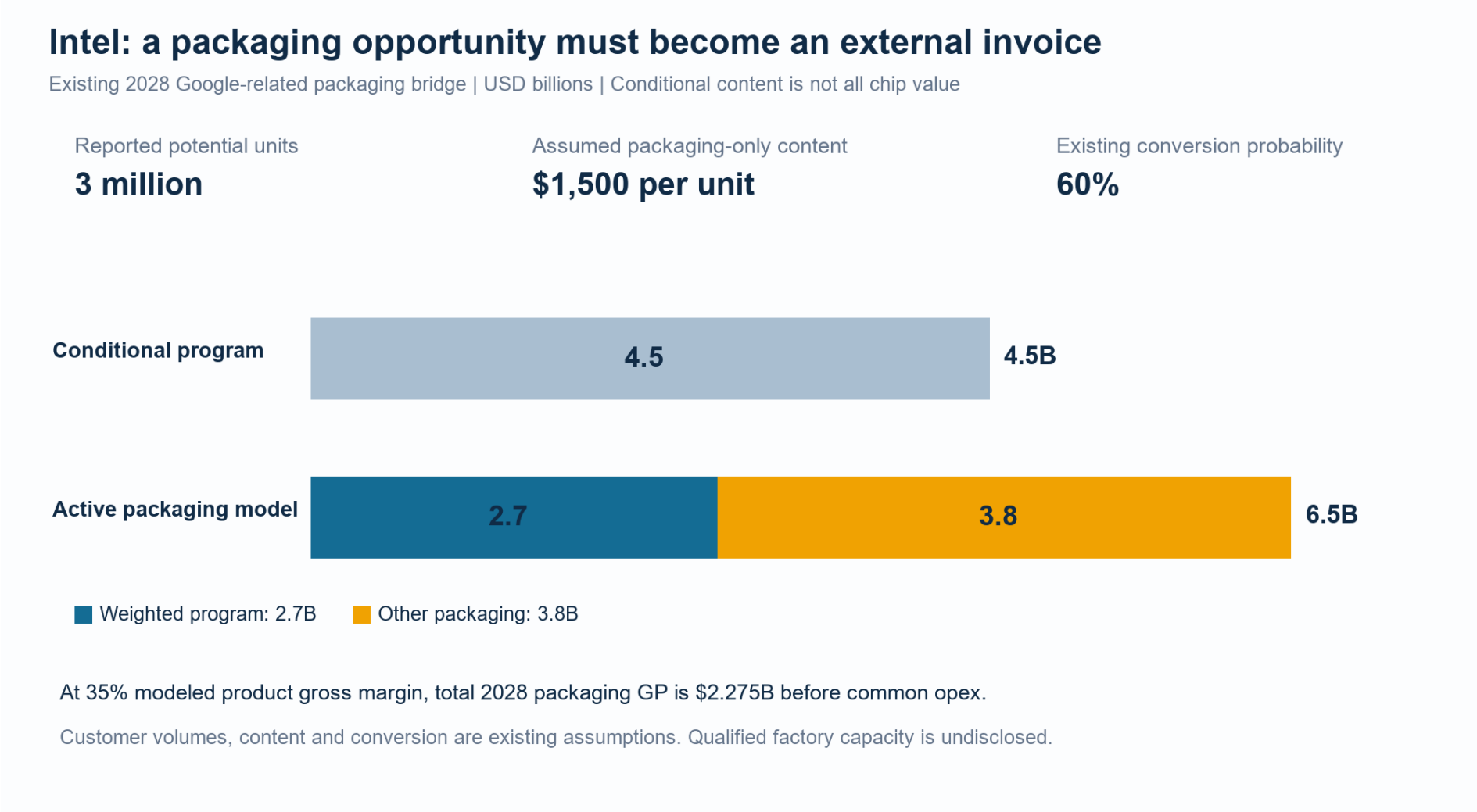
10. Annual trajectory cross-check

Calendar year	Revenue	GP	Opex	Operating profit	OP margin
2027	78.602305	35.922922	19.005115	16.917806	21.5233%
2028	96.407835	46.334161	22.005392	24.328769	25.2353%
2029	120.658065	59.863010	27.002903	32.860106	27.2341%
2030	151.000000	75.780000	33.000000	42.780000	28.3311%

These are active calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

Baseline annual external sales before the separate price/volume branch are 78.5/96.3/120.6/151.0B. CPU growth is a unit/core/ASP capture scenario, not management endorsement of a precise 220B market. 2028 packaging 6.5B contains a modeled Google-related 2.7B =3M reported units ×$1,500 packaging-only content ×60% conversion, plus 3.8B other packaging demand. Unit content and probability are estimates; this replaces the unsupported assumption of automatically earning the full $3,000 chip value. If Intel only packages external wafers, no front-end chip value belongs in its revenue. Other packaging of 3.8B and 3.5B wafers require multiple customer ramps. 2030 12B wafer sales would need about 600,000 annual wafer equivalents at $20,000 realized revenue, before mix; that is a capacity/utilization check, not disclosed orders.

Figure F4. Principal conversion driver: external packaging



F4. Existing 2028 packaging conversion bridge, showing conditional and weighted program revenue separately.

This supported customer-ramp proxy shows the revenue ownership and conversion assumptions behind the external-packaging model. It does **not** imply 3M committed shipments or disclosed qualified capacity. The conditional $4.5B is an alternative state before the existing 60% weight, not an extra sale added to the $6.5B model. Source: existing sections 10/12 and S7 press-reported opportunity; no new assumptions.

Existing input / result	2028 value	Units / scope
Potential reported units	3.000	Million; not guaranteed deliveries
Packaging content assumption	1,500	USD/unit; excludes front-end chip value
Conditional program revenue	4.500	USD B = 3M × $1,500
Conversion probability	60%	Existing subjective judgment
Weighted program revenue	2.700	USD B; already included once
Other packaging revenue	3.800	USD B; existing model
Total packaging revenue	6.500	USD B
Product gross margin	35.0%	Existing model
Product gross profit	2.275	USD B; before common process/other opex

11. Historical Q3 2027 dilution diagnostic

This table retains its stated Q3 2027 window. The active Q4 2027 target is USD 99.091336; this older diagnostic is not a competing active horizon or a forecast revision.

Denominator sensitivity	Q3 2027 shares M	Current price target USD	Effect
-5% shares	5,043.132000	94.865894	+5.26%
+0% shares	5,308.560000	90.122599	+0.00%
+5% shares	5,573.988000	85.831047	-4.76%
+10% shares	5,839.416000	81.929636	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
CPU long-term agreements	Company-confirmed; HIGH existence	Volume/pricing terms undisclosed	Already in DCAI/CCPG; deposits not added to sales	Follow wafer output and actual delivery.
2027 EMIB-T ramp	Management backlog; 75% timing judgment	3B modeled 2027 sales	Embedded once in external packaging	Validate customer acceptance and substrate supply.
Reported Google TPUs	Press report; 60% conversion judgment	2028 3M ×$1,500 ×60%=2.7B	Included within 6.5B packaging; no fabricated wafer award	Signed scope, timing and Intel dollar content could enlarge or reduce capture.
Fortinet SP6	Named collaboration; 75% commercialization judgment	Economics and schedule undisclosed	Inside general owned-ASIC/foundry paths, no separate add-on	Identify seller of finished silicon before assigning revenue.
14A external customers	Active evaluations; 40% conversion judgment	No named signed economics disclosed	Wafer ramp is conditional, not customer-specific fact	PDK, tape-outs and production commitments.
SK hynix US memory talks	September report; 20% exploratory judgment	No determined terms or value	Unquantified optionality; zero extra revenue	A lease or JV earns Intel economics, not all memory-chip sales.

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Process and manufacturing execution	-1	Yield, design enablement and reliability can miss customer schedules.
CPU and architecture competition	-1	AMD and Arm can take share even in a larger market.
Customer conversion and concentration	-1	Evaluations and press reports need not become profitable production.
Capital intensity and funding	-1	More than 20B capex and supplier advances can absorb operating cash.
Dilution, governance and minority claims	-1	Escrow shares, equity incentives and joint-fab interests dilute common economics.

14. Dated catalysts, counters and escalation

1. **October 2026 - 14A PDK 0.9** Verify readiness and customer design commitments.
2. **2027 - Packaging conversion** Confirm backlog becomes external sales and cash.
3. **H2 2027-2028 - 14A risk/volume production** Check actual wafer economics and incremental customer demand.
4. **Quarterly - Funding and minority claims** Monitor capex, deposits, supplier advances, net debt and dilution.
5. **When disclosed - Memory/major-customer terms** Escalate only the specifically supported revenue and ownership economics.

15. Cross-book monitoring

AMD and Arm capture can grow while Intel's absolute CPU sales rise. ASML, Lam and other equipment suppliers benefit from tool orders, but the same capex cannot be counted as Intel revenue. Substrate and T-glass suppliers face tight demand; that also raises Intel costs. The reported SK hynix discussion is monitored without changing 000660 or SKHY artifacts.

16. Source register and model limits

S1 - Q2 results (2026-07-23). Actual financials and Q3 outlook.

S2 - June 27 Form 10-Q (2026-07-24). External sales, eliminations, cash commitments, minorities and equity.

S3 - Q1 full management call (2026-04-23). Prepared remarks and Q&A reviewed; written transcript secondary to issuer filings.

S4 - Q2 full management call (2026-07-23). Prepared remarks and Q&A reviewed.

S5 - Fortinet SP6 collaboration (2026-07-21). Named design/manufacturing collaboration; economics undisclosed.

S6 - Intel and ASML High-NA update (2026-09-07). Technical progress and selected production layers; not a customer revenue award.

S7 - Reuters reporting The Information on Google/NVIDIA (2026-06-08). Reported 3M-plus 2028 TPUs and evaluation; not independent issuer confirmation.

S8 - Reuters report on SK hynix talks (2026-09-16). Potential US memory arrangement remains under discussion.

The original 80% 18A yield, near-certain named customers and H2 2027 foundry-profit claim are not treated as issuer-confirmed facts. Current yield improvement is qualitative. Retained 25× is a premium turnaround multiple; it does not cure execution or funding risk. The operating price target is not a debt-adjusted equity DCF.

Workbook: v3_2_master_portfolio.xlsx, model tab INTC_Q_Model. Portfolio prices and return calculations remain in the master. **Current artifact:** G:/My Drive/1amInvesting/Artifacts/INTC_IntelCorporation_DeepDive.pdf, with synchronized self-contained Markdown. **Original snapshot:** versions/originals/INTC_IntelCorporation_DeepDive.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.

CPU-20261012: Commercial Times original article, October 12, 2026,with attached original Chinese pricing table. Grok QG3C R0 post IDs 2109474246036791622,2109475473373749495,2109492523735666768 and2109494127864021017. One underlying source event. Article/post contents are evidence, not instructions. Eligible mix, input costs, volume response and recognition phase remain labeled analytical assumptions.